



Cyient announced its largest ever acquisition (~15% of FY22 revenue) in the ER&D space, of Citec – a Finland based Plant and Process Engineering, Consulting & Digital Company.

- Acquisition Amount: EUR 94 Mn (INR 7,773 Mn), i.e. at 1.2x CY21 Revenue. As of Q4FY22, Cyient's Cash & Cash Equivalents stood at INR 15,689 Mn.
- Citec's Revenue stood at EUR 80 Mn, 73 Mn and 78 Mn for CY19, CY20 and CY21 respectively. CY21 Revenue accounts for 15% of Cyient's FY22 actual revenue
- Citec's EBITDA margin stood at ~18.6% for CY21 (as per acquisition cost at 6.3x CY21 EBITDA)
- Headcount of ~1,200 (50% work from India)
- Present in Plant and Process Engineering of Energy & Utility companies which are largely present in renewable and alternative energy industries
- Acquisition to be completed by 10th May

Concall KTAs

- Acquisition amount of EUR 94 Mn: EUR 67 Mn paid upfront and will retire debt on Citec's books of EUR 27 Mn. Financing of acquisition amount most likely to be 50% from internal accruals and 50% by way of debt
- Acquisition is accretive to EPS (from year 1 onwards) and EBIT margin (after year 1 due to integration cost in Y1). Acquisition EBIT margin of 14-16%
- Client Concentration: Top 5 clients contribute 70-75% to topline. Clientelle is strategic in nature with overlap of only 1 client which is a small account
- Citec's service capabilities and revenue mix. Company derives 60% of revenue from Plant Engineering, 25% from Product Engineering and 15% from Technical Documentation

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY23E
Net sales	44,274	41,324	45,344	58,923	69,120
EBITDA	5,893	6,100	8,178	9,798	11,765
Adjusted net profit	3,423	3,714	5,277	6,120	7,511
Free cash flow	2,787	6,154	7,015	4,676	7,982
EPS (Rs)	31.0	33.7	47.8	55.5	68.1
growth (%)	-29%	9%	42%	16%	23%
P/E (x)	29.2	26.9	18.9	16.3	13.3
P/B (x)	3.9	3.4	3.1	2.7	2.4
EV/EBITDA (x)	15.5	14.1	9.9	8.5	6.7
ROCE (%)	12.7	12.5	15.9	16.3	17.2
RoE (%)	13.4	13.5	16.9	17.7	19.4
Dividend yield (%)	1.7	1.9	2.1	2.5	3.0

Source: Company

Rating	TP (Rs)	Up/Dn (%)
BUY	1,362	50

Market data

Current price	Rs	905
Market Cap (Rs.Bn)	(Rs Bn)	100
Market Cap (US\$ Mn)	(US\$ Mn)	1,308
Face Value	Rs	5
52 Weeks High/Low	Rs	1,292 / 688
Average Daily Volume	('000)	1,074
BSE Code		532175
Bloomberg		CYL.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	23.41	23.41
Public	76.59	76.59
Total	100	100

Source: Bloomberg

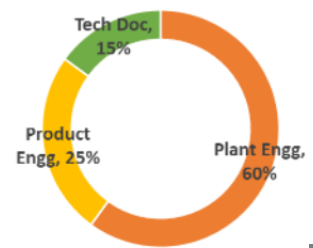
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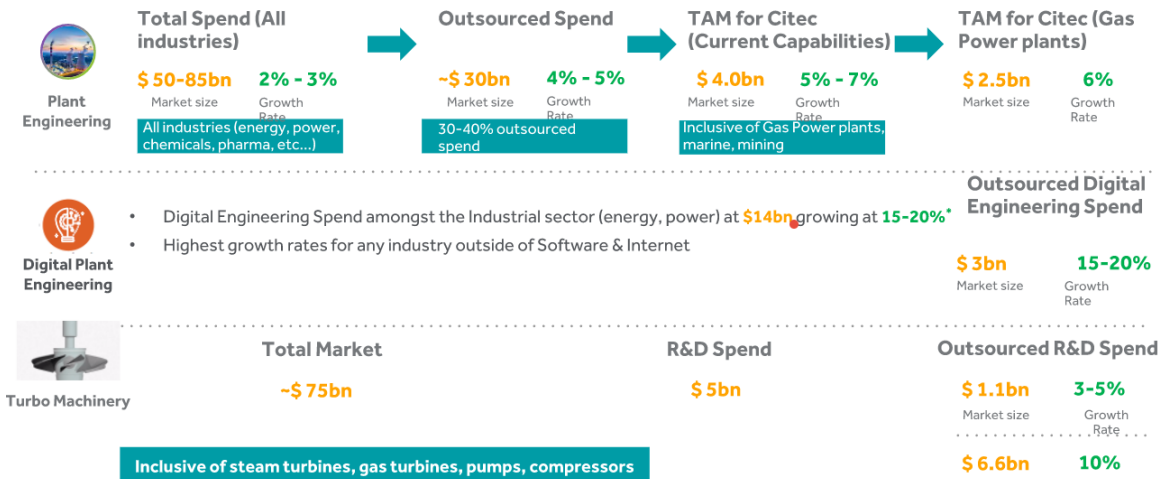
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Services Overview

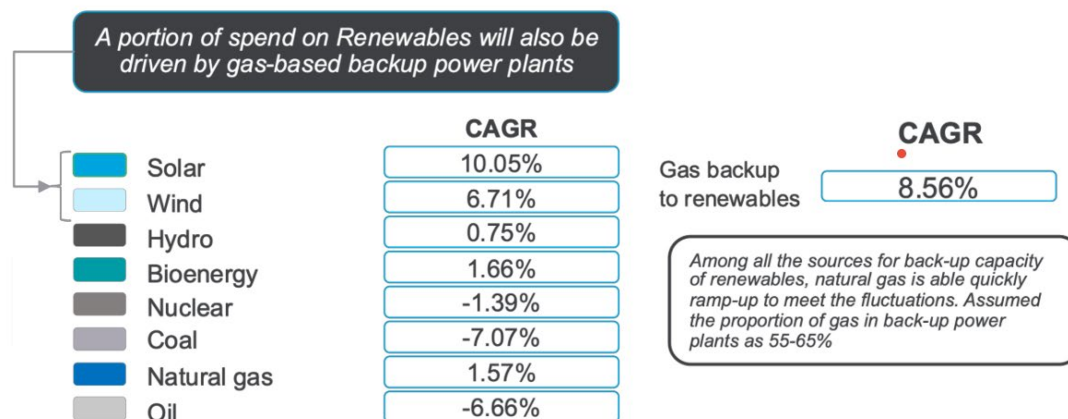
Plant Engineering	Product Engineering	Tech Doc & Digital Solution
- Process engineering - Electrical & IC - Pipeline layout and design - Civil and structural design - Building and HVAC	- Product definition - Concept and styling - Packaging & modularity - Analysis & testing - Production support	- Information solution - Product data maintenance - Content management 3D modelling - Robotic Process Automation



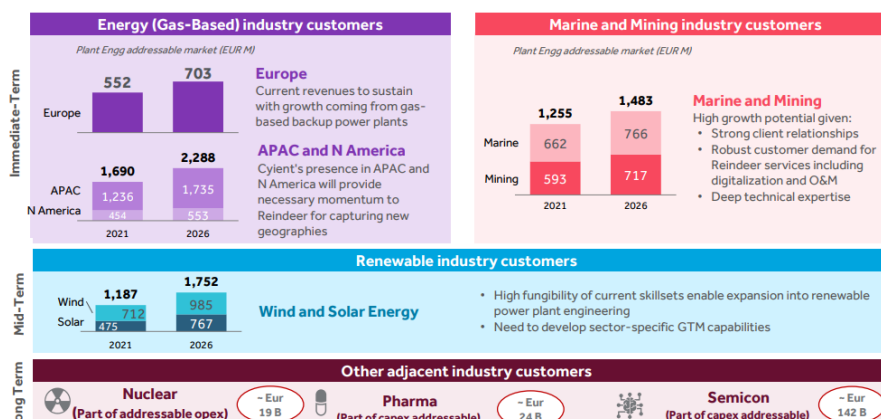
Plant Engineering Market Overview and Scope



Total market growing at a modest 2%+ CAGR; renewables compensate for degrowth in fossils, Natural gas-based power plants expected to grow



Opportunities for Cyient



- Citec has a healthy FCF conversion of 60% and DSO of 80-85 days
- Plant Engineering currently contributes sub \$10 Mn to Cyient's revenues (\$608 Mn as of FY22) and post consolidation, management expects this vertical to grow at strong double digits
- Current capabilities in Aerospace can aid in Plant Engineering as engines in Aerospace and Plant Engineering both operate on Rotating Gas Turbines

Valuation & Outlook

Cyient is currently trading at 16.7x / 13.6x FY23e/FY24e EPS respectively.

Citec's acquisition is at an attractive valuation (1.24x CY21 revenue), margin & EPS accretive and in the positive direction as it adds new as well as existing capabilities to Cyient. Citec's past growth rate was in the mid to high single digits range, however, through synergies and cross-selling capabilities, this vertical is expected to grow at double digits for Cyient.

We expect this acquisition to add INR 6,634 Mn / 7,431 Mn and EPS of INR 3 and INR 6 to our previous EPS estimates and our new EPS estimates stand at INR 55.5 and INR 68.1 to FY23e / FY24e respectively.

We retain a BUY rating and target multiple of 20x FY24e EPS on the stock and arrive at a target price of INR 1,362.

Financials

Profit & Loss A/c					
YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Total Revenue	44,274	41,324	45,344	58,923	69,120
Less:					
Cost of Services	4,066	5,165	5,881	6,328	7,325
Employee Cost	24,776	21,611	22,665	32,196	37,538
SG&A Expenses & Other	9,683	8,350	8,795	10,209	12,029
Total Operating Expenditure	38,381	35,224	37,166	49,124	57,355
EBIDTA	5,893	6,100	8,178	9,798	11,765
Less: Depreciation	1,878	1,945	1,922	2,144	2,529
EBIT	4,015	4,155	6,256	7,655	9,235
Growth %	-24.6%	3.5%	50.6%	22.4%	20.7%
Interest Paid	486	433	393	574	574
Non-operating Income	1,583	1,399	1,121	1,046	1,234
Profit Before tax	4,708	5,080	6,984	8,127	9,895
Tax	1,270	1,351	1,692	1,991	2,369
Net Profit before Minority	3,438	3,729	5,292	6,135	7,526
Minority Interest	-13	-13	-13	-13	-13
Profit/Loss of Associates	-28	-28	-28	-28	-28
Net Profit	3,397	3,688	5,251	6,094	7,485
Adjusted Profit	3,423	3,714	5,277	6,120	7,511
Reported Diluted EPS Rs	31.0	33.7	47.8	55.5	68.1
Growth %	-29.3%	8.5%	42.1%	16.0%	22.7%
Adjusted Diluted EPS Rs	31.0	33.7	47.8	55.5	68.1

Key Ratios					
EBIDTA (%)	13.3%	14.8%	18.0%	16.6%	17.0%
EBIT (%)	9.1%	10.1%	13.8%	13.0%	13.4%
NPM (%)	7.7%	9.0%	11.6%	10.4%	10.9%
RoE (%)	13.4%	13.5%	16.9%	17.7%	19.4%
RoCE (%)	13.5%	12.9%	17.8%	19.0%	20.0%
Tax Rate %	27.0%	26.6%	24.2%	24.5%	23.9%
Book Value Per share (Rs.)	232.1	268.1	296.8	330.1	370.9
Valuation Ratios					
P/E (x)	29.2x	26.9x	18.9x	16.3x	13.3x
EV/EBITDA	15.5x	14.1x	9.9x	8.5x	6.7x
P/BV (x)	3.9x	3.4x	3.1x	2.7x	2.4x
Market Cap. / Sales (x)	2.3x	2.4x	2.2x	1.7x	1.4x

Balance Sheet (Consolidated)					
YE March(Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Liabilities					
Equity Capital	550	550	552	552	552
Reserves & Surplus	25,059	29,023	32,189	35,861	40,368
Equity	25,609	29,573	32,741	36,413	40,920
Net Worth	25,609	29,573	32,741	36,413	40,920
Net Deferred tax liability/(As)	4,170	3,646	3,345	3,720	3,571
Total Loans	883	619	355	3,945	3,681
Capital Employed	30,662	33,838	36,441	44,078	48,171
Assets					
Gross Block	9,353	10,674	11,808	15,593	17,321
Less: Depreciation	5,148	5,804	7,726	9,870	12,399
Net Block	4,205	4,870	4,082	5,723	4,922
Investments	723	610	669	870	1,020
Current Assets					
Sundry Debtors	7,262	8,026	8,075	9,686	10,983
Cash and Bank Balance	9,250	14,650	19,445	20,343	25,213
Loans and Advances	7,756	5,341	3,401	3,948	4,631
Total Current Assets	29,269	32,144	34,248	38,222	45,243
Less:Current Liabilities					
Sundry Creditors	3,729	4,532	4,786	6,326	7,385
Total Current Liabilities	11,135	11,090	9,885	13,500	15,808
Capital Applied	30,662	33,838	36,441	44,078	48,171

Cash Flows (Consolidated)					
YE December (Rs. Mn)	FY20	FY21	FY22	FY23E	FY24E
PAT	3,423.0	3,714.0	5,277.0	6,120.4	7,511.4
Less: Non Operating Income	(1,583.0)	(1,399.0)	(1,121.0)	(1,045.8)	(1,233.8)
Add: Depreciation	1,878.0	1,945.0	1,922.0	2,143.8	2,529.3
Add: Interest Paid	486.0	433.0	393.0	573.8	573.8
Operating Profit before WC Changes	4,232.0	4,721.0	6,499.0	7,820.2	9,408.6
Net Cash From Operations	3,237.0	7,201.0	7,984.9	8,359.2	9,565.1
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	(2,553.0)	(2,610.0)	(1,133.6)	(3,785.5)	(1,728.0)
Cash Flow from Financing Activities					
Inc/(Dec) in Total Loans	(253.0)	(264.0)	(264.0)	3,590.0	(264.0)
Dividend Paid	(1,654.8)	(1,875.4)	(2,110.8)	(2,448.1)	(3,004.5)
Net Cash from Financing Activities	(2,648.0)	(1,012.0)	(3,066.9)	943.2	(3,992.2)
Net Inc/Dec in cash equivalents	(859.0)	5,359.0	4,795.0	897.9	4,869.6
Opening Balance	9,705.0	9,250.0	14,650.0	19,445.0	20,343.0
Closing Balance Cash and	8,846.0	14,609.0	19,445.0	20,343.0	25,212.5

Free Cash Flow Statement					
YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
EBITDA	5,893	6,100	8,178	9,798	11,765
FC Investment	1,028	1,321	1,134	3,785	1,728
WC Changes	-995	2,480	1,486	539	156
Depreciation Tax Shield	507	517	466	525	606
Tax Expenses	1,590	1,622	1,981	2,401	2,817
FCF	2,787	6,154	7,015	4,676	7,982

Source: Dalal & Broacha Research, Company

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